There is no lack of diversification potential in the bond market. Fixed-income asset subclasses include government bonds, corporate bonds, home mortgage pools, asset-backed bonds such as those backed by credit card receivables, and foreign developed and emerging markets. A total bond market fund covers most investment-grade fixed-income securities.

The best way to build the fixed-income portion of a portfolio is through low-cost bond mutual funds, particularly bond index funds. Index funds closely track many of the fixed-income indexes used in data analysis in this chapter. Some fixed-income asset classes cannot be purchased with in index fund. For those asset classes, a low-cost actively managed mutual fund is appropriate. Investors in a high tax bracket should consider municipal bond mutual funds as a substitute for taxable investment-grade bonds.